

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1265

BY HEALTH AND WELFARE COMMITTEE

AN ACT

RELATING TO THE PETROLEUM CLEAN WATER TRUST FUND ACT; PROVIDING LEGISLATIVE INTENT; AMENDING SECTION 41-4904, IDAHO CODE, TO REVISE A PROVISION REGARDING THE BOARD OF TRUSTEES OF THE PETROLEUM CLEAN WATER TRUST FUND; AMENDING SECTION 41-4910, IDAHO CODE, TO REMOVE OUTDATED PROVISIONS REGARDING DISTRIBUTION OF FUND MONEYS; REPEALING SECTION 41-4910A, IDAHO CODE, RELATING TO APPORTIONMENT OF MONEYS; AMENDING SECTION 41-4911, IDAHO CODE, TO REMOVE CODE REFERENCES; REPEALING SECTION 41-4925, IDAHO CODE, RELATING TO THE APPLICATION FOR TRUST REGISTRATION; AMENDING SECTION 41-4925A, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AMENDING SECTION 41-4930, IDAHO CODE, TO REVISE A PROVISION REGARDING ISSUANCE OF CERTIFICATE OF REGISTRATION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. IDAHO CODE CLEANUP -- LEGISLATIVE INTENT. It is the intent of the Legislature to ensure that the state laws provided in Idaho Code are streamlined, up-to-date, and essential for the citizens of Idaho, while best serving the public health, safety, and welfare. In accordance with the Idaho Code Cleanup Act, following comprehensive review, the Legislature has identified the provisions of this act as obsolete, outdated, or unnecessary.

SECTION 2. That Section 41-4904, Idaho Code, be, and the same is hereby amended to read as follows:

41-4904. BOARD OF TRUSTEES OF THE FUND. (1) The governor shall appoint seven (7) persons to be the board of trustees of the Idaho petroleum clean water trust fund. One (1) member shall be a member of the state senate, one (1) member shall be a member of the state house of representatives, one (1) member shall be a representative of the financial community with expertise in the area of insurance, accounting or finance, one (1) member shall be an engineer, geologist or similarly trained scientist with experience in environmental remediation and three (3) members shall be wholesale distributors of petroleum products. The governor shall appoint a chairman from the seven (7) members. The members shall be appointed for terms of four (4) years, except that all vacancies shall be filled for the unexpired term, ~~provided that the first two (2) appointments the governor makes after the effective date of this act shall serve a term of two (2) years and the other five (5) members shall serve a term of four (4) years. Thereafter, a member shall serve a term of four (4) years.~~ A certificate of appointment shall be filed in the office of the secretary of state. A majority of the members shall constitute a quorum for the transaction of all business or the exercise of any power or function of the Idaho petroleum clean water trust fund. Members of the board of

trustees shall receive a compensation for service as prescribed in section 59-509(n), Idaho Code.

(2) The administrator of the fund shall be the state insurance fund unless replaced by the board of trustees with another person. The administrator shall serve at the pleasure of the board of trustees. The board of trustees may appoint and employ such other persons as may be required by the board and shall prescribe the duties and compensation of each such person.

(3) It shall be the duty of the board of trustees to direct the policies and operation of the fund to assure that it is run as an efficient insurance company, remains actuarially sound and maintains the public purposes for which the Idaho petroleum clean water trust fund was created.

SECTION 3. That Section 41-4910, Idaho Code, be, and the same is hereby amended to read as follows:

41-4910. DISTRIBUTION OF APPLICATION FEES AND TRANSFER FEES. (1) The application fees and the transfer fees collected as provided in this chapter shall be promptly remitted to the state treasurer for deposit in the Idaho petroleum clean water trust fund. ~~The transfer fees and accumulated interest which accrued to the fund prior to August 3, 1995, shall remain in the fund. The transfer fees and accumulated interest, which have been held in a separate suspense account since August 3, 1995, shall be distributed as provided in subsection (4) of this section.~~ The transfer fees and accumulated interest which accrue to the Idaho petroleum clean water trust fund subsequent to April 1, 1997, shall be distributed monthly thereafter as provided in subsection ~~(5)~~ (4) of this section.

(2) An amount of money equal to the actual cost of collecting, administering and enforcing the transfer fee by the commission, as determined by it, shall be retained by the commission. The amount retained by the commission shall not exceed the amount authorized to be expended by appropriation by the legislature. Any unencumbered balance in excess of the actual cost of collection, administering and enforcing the transfer fee requirements by the commission at the end of each fiscal year shall be remitted to the state treasurer for deposit into the Idaho petroleum clean water trust fund.

(3) From the receipts of the transfer fee, an amount of money shall be distributed to the state refund account established under section 63-3067, Idaho Code, sufficient to reimburse that account for all current refund claims under this chapter paid from that account. Any refunds due and owing from the commission under this chapter shall be paid from the state refund account and those moneys are hereby continuously appropriated for that purpose.

~~(4) For the distribution on April 1, 1997, the balance of the transfer fees and accumulated interest accruing to the separate suspense account established for such fees on August 3, 1995, which remain after distributing the amounts specified in subsections (2) and (3) of this section, shall be distributed as follows:~~

~~(a) Twenty percent (20%) to the Idaho petroleum clean water trust fund established in section 41-4905, Idaho Code;~~

~~(b) Three percent (3%) to the Idaho department of parks and recreation in accordance with subparagraphs 1., 2., and 3. of paragraph (f), subsection (1) of section 63-2412, Idaho Code; and~~

~~(c) The remainder shall be distributed:~~

~~(i) Six million dollars (\$6,000,000) to the state highway account for administration by the Idaho transportation department as provided in section 41-4910A, Idaho Code; and~~

~~(ii) The balance remaining to the highway distribution account established in section 40-701, Idaho Code.~~

~~(5)~~ (4) For the distribution at the end of fiscal year 1997 and monthly thereafter, the balance of the transfer fees and accumulated interest accruing to the Idaho petroleum clean water trust fund which remain after distributing the amounts specified in subsections (2) and (3) of this section, shall be distributed as follows:

(a) Seventy-seven percent (77%) to the highway distribution account established in section 40-701, Idaho Code; and

(b) Three percent (3%) to the Idaho department of parks and recreation in accordance with subparagraphs 1., 2., and 3. of paragraph (f), subsection (1) of section 63-2412, Idaho Code.

SECTION 4. That Section 41-4910A, Idaho Code, be, and the same is hereby repealed.

SECTION 5. That Section 41-4911, Idaho Code, be, and the same is hereby amended to read as follows:

41-4911. ISSUANCE OF CONTRACTS OF INSURANCE BY THE ADMINISTRATOR OF THE IDAHO PETROLEUM CLEAN WATER TRUST FUND -- DEFERRAL. (1) The administrator may issue a contract of insurance to an owner or operator of a petroleum storage tank that, based upon a consideration of the owner or operator's application for insurance and appropriate investigation by the administrator, meets the eligibility provisions of this chapter and the underwriting requirements established by the administrator.

(2) The administrator may defer issuing contracts of insurance to certain categories of petroleum storage tank owners or operators if necessary for the sound operation of the trust fund.

(3) The administrator shall consider the following factors in determining whether to defer the issuance of contracts of insurance to any category of petroleum storage tank owners or operators:

(a) The underwriting capacity of the trust fund;

(b) Any requirement of federal or state law or regulation imposed on any category of petroleum storage tank owners or operators to demonstrate financial responsibility for corrective action and compensation to third parties for bodily injury and property damage arising from accidental releases from petroleum storage tanks;

(c) The ability of the administrator to process insurance applications from different categories of petroleum storage tank owners or operators.

(4) Any decision by the administrator to defer issuing contracts of insurance to any category of petroleum storage tank owners or operators shall be documented in the plan of operation, or an amendment thereto, submitted to the director of the department of insurance pursuant to sections ~~41-4925 or 41-4925A, Idaho Code,~~ and subject to the director's approval.

(5) The administrator may issue contracts of insurance to deferred categories of petroleum storage tank owners or operators when the need for deferral documented in subsection (4) of this section no longer exists, as demonstrated by an amendment to the plan of operation submitted to and approved by the director of the department of insurance pursuant to section 41-4925A, Idaho Code.

SECTION 6. That Section [41-4925](#), Idaho Code, be, and the same is hereby repealed.

SECTION 7. That Section 41-4925A, Idaho Code, be, and the same is hereby amended to read as follows:

41-4925A. AMENDMENTS TO PLAN OF OPERATION. (1) Any amendment to the plan of operation prepared by the administrator for the purpose of deferring the issuance of contracts of insurance to any category of petroleum storage tank owners or operators or for issuing contracts of insurance to any deferred category of petroleum storage tank owners or operators shall be submitted to the director of the department of insurance.

(2) The director shall review the amendment and shall, with all reasonable promptness, approve, approve as modified, or disapprove of the amendment to the plan of operation. If the amendment is approved, the administrator may issue contracts of insurance and otherwise operate the trust fund in a manner consistent with the amended plan of operation. If the amendment is disapproved, the administrator must operate the trust fund in a manner consistent with the provisions of the plan of operation ~~as submitted to the director in the trust fund's application for registration under section 41-4925, Idaho Code.~~

(3) The director may request such relevant documentation and information, including an actuarial analysis of the underwriting capacity of the trust fund, as is reasonably necessary to evaluate the proposed amendment to the plan of operation.

(4) All procedures and policies concerning the approval, modification or disapproval of any amendment to the plan of operation are subject to the provisions of chapter 52, title 67, Idaho Code, as well as the rules of practice and procedure of the department of insurance.

SECTION 8. That Section 41-4930, Idaho Code, be, and the same is hereby amended to read as follows:

41-4930. EXISTING INSURANCE LAWS TO APPLY TO THE TRUST FUND WITH CERTAIN EXCEPTIONS. The trust fund shall comply with all of the applicable provisions of title 41, Idaho Code, with certain exceptions as follows:

(1) The creation of the trust fund by act of the legislature shall not be deemed to be an ownership, control or operation of an insurer by a governmental entity, as referred to in section 41-309, Idaho Code, and the surplus funds of the trust fund shall be considered to be dedicated and held in reserve for the purpose of providing funds for the payment of claims arising out of the discharge of petroleum products from tanks covered by a contract of insurance issued to the tank owner or operator by the trust fund as pro-

1 vided for in section 41-4906, Idaho Code. The absolute control of the trust
2 fund shall be vested in the board.

3 (2) The provisions of this chapter shall be construed to be contained
4 in the document of organization and bylaws of the trust fund for purposes of
5 sections 41-319, 41-320 and 41-322, Idaho Code, and the director shall issue
6 a certificate of registration to and in the name of the trust fund ~~upon his~~
7 ~~finding that it has met all other appropriate provisions of the Idaho Code,~~
8 ~~including sections 41-313, 41-316 and 41-316A, Idaho Code.~~

9 (3) Section 41-337, Idaho Code, shall not apply to contracts of insur-
10 ance issued by the trust fund.

11 (4) Sections 41-1004 and 41-1022, Idaho Code, shall not apply to em-
12 ployees of the state insurance fund or the trust fund.

13 (5) Section 41-1103, Idaho Code, shall not apply to employees of the
14 state insurance fund or the trust fund, provided the employees restrict
15 their claims adjusting and investigation operations only to those contracts
16 issued by the trust fund.

17 (6) Except as otherwise provided in this chapter, chapter 28, title 41,
18 Idaho Code, and chapter 14, title 30, Idaho Code, shall not apply to the trust
19 fund nor shall this trust fund be construed to be a domestic mutual insurer,
20 nor a reciprocal insurer, nor any other type of insurer currently regulated
21 by title 41, Idaho Code, and the only organizational requirements of this
22 trust fund shall be those enumerated in this chapter.

23 SECTION 9. An emergency existing therefor, which emergency is hereby
24 declared to exist, this act shall be in full force and effect on and after
25 July 1, 2026.